

Meridian & Associates LLP

Tax Services Practice

Transfer Pricing Advisory Framework

Intercompany Transaction Analysis, Documentation & Dispute Resolution
BEPS-Aligned Methodology

Document ID:	M&A-TAX-TPF-002
Version:	3.8
Effective Date:	March 1, 2026
Classification:	CONFIDENTIAL
Distribution:	Internal Use Only

This document is the proprietary and confidential property of Meridian & Associates LLP. It is intended solely for internal use by authorized personnel of the firm. Unauthorized reproduction, distribution, or disclosure is strictly prohibited. If you have received this document in error, please notify the Tax Services Practice Leader immediately.

1. Executive Summary

Meridian & Associates' Transfer Pricing Advisory Framework establishes the firm's standardized methodology for analyzing, documenting, and defending intercompany transactions across multinational group structures. This framework is fully aligned with the OECD Transfer Pricing Guidelines (2022 revision), the United States Internal Revenue Code Section 482 regulations, and the BEPS Action 8-10 recommendations on aligning transfer pricing outcomes with value creation. In FY2025, the Transfer Pricing practice served 680+ clients, prepared 2,100+ benchmarking studies, and successfully resolved 45 bilateral APA negotiations with an average cycle time of 22 months.

2. Functional Analysis Methodology

The functional analysis is the foundational step in any transfer pricing engagement. Our methodology follows a structured five-phase approach designed to accurately delineate the controlled transaction and identify the economically significant activities, assets, and risks borne by each party:

2.1 Phase 1 -- Industry and Business Model Mapping

We begin with a comprehensive review of the client's industry dynamics, competitive positioning, and global operating model. This includes analysis of the value chain from raw material sourcing through end-customer delivery, identification of key value drivers (e.g., proprietary technology, brand, distribution network, regulatory expertise), and mapping of how profits flow through the intercompany structure. We leverage Meridian's proprietary Industry Knowledge Database, which contains functional profiles for over 40 industry verticals based on 15+ years of engagement data.

2.2 Phase 2 -- Entity-Level Function, Asset & Risk (FAR) Profiling

Each entity participating in the controlled transaction is profiled using our standardized FAR template. Functions documented include: R&D and product development, manufacturing and assembly, supply chain management, marketing and sales, after-sale service, treasury and financing, and strategic management. Assets catalogued include tangible property, intellectual property (patents, trade secrets, trademarks, customer relationships), and financial assets. Risk allocation is assessed under the six-step OECD risk framework: (i) identification, (ii) contractual assumption, (iii) functional risk management, (iv) financial capacity to assume risk, (v) actual conduct of the parties, and (vi) allocation of risk consequences.

2.3 Phase 3 -- Transaction Characterization

Based on the FAR profiles, each intercompany transaction is characterized by type: tangible goods transfer, provision of services (routine vs. high-value), licensing of intangible property, financial transactions (loans, guarantees, cash pooling), or cost contribution arrangements. The characterization determines the appropriate transfer pricing method and comparability factors.

3. Benchmarking Methodologies

Meridian applies the following OECD-recognized methods, selecting the most appropriate method (MAM) based on the functional profile and data availability:

3.1 Comparable Uncontrolled Price (CUP) Method

The CUP method compares the price charged in a controlled transaction to the price charged in a comparable uncontrolled transaction under comparable circumstances. This method is preferred when reliable internal or external comparables exist -- particularly for commodity transactions (using quoted prices per OECD guidance on commodity transactions), royalty arrangements with publicly available licensing agreements, and intercompany services with market-rate benchmarks. We maintain proprietary CUP databases covering 12 commodity categories and 8 technology licensing segments.

3.2 Transactional Net Margin Method (TNMM)

The TNMM examines the net profit relative to an appropriate base (costs, sales, assets) that a taxpayer realizes from a controlled transaction. This is the most frequently applied method in our practice (approximately 65% of benchmarking studies). Our TNMM benchmarking process utilizes Bureau van Dijk (BvD) databases -- primarily Orbis and TP Catalyst -- to identify independent comparables. Search strategies are documented in detail, including SIC/NACE code selection, geographic scope, quantitative screens (revenue thresholds, independence indicators, financial data availability), and qualitative comparability adjustments.

Profit level indicators (PLIs) are selected based on the tested party's profile: operating margin for distributors, Berry ratio (gross profit / operating expenses) for service providers, return on total costs for contract manufacturers, and return on assets for capital-intensive operations. Interquartile range analysis is performed to establish the arm's length range, with the median used as the point estimate for planning and provision purposes.

3.3 Profit Split Method

The profit split method divides the combined profits from controlled transactions among the associated enterprises based on the relative value of each party's contributions. We apply this method when both parties make unique and valuable contributions (e.g., integrated R&D partnerships, co-branding arrangements, or highly integrated supply chains where one-sided methods cannot reliably isolate routine returns). Our approach employs both the residual profit split (allocating routine returns first, then splitting residual based on relative contributions to value creation) and the contribution analysis.

4. BEPS Action 13 Documentation

4.1 Master File

The Master File provides a high-level overview of the multinational group's global business operations and transfer pricing policies. Our Master File template covers: (i) organizational structure -- legal entity chart with ownership percentages and jurisdiction of incorporation; (ii) description of the group's business -- principal business activities, key product/service lines, geographic markets, and major supply chain flows; (iii) intangibles -- strategy for development, ownership, and exploitation, list of important intangibles with legal owners, and intercompany agreements relating to intangibles including cost contribution and licensing arrangements; (iv) intercompany financial activities -- description of group financing, including treasury centers, material financing arrangements, and transfer pricing policies for financial transactions; and (v) financial and tax positions -- consolidated financial statements and existing unilateral APAs, bilateral APAs, and rulings.

4.2 Local File

The Local File provides detailed transactional transfer pricing documentation for each jurisdiction. Our Local File template for each material entity includes: detailed description of the local entity's management structure, organizational chart, and business strategy; identification of each category of controlled transaction with transaction values; functional analysis of the local entity and relevant associated enterprises; selection of the most appropriate transfer pricing method with reasoning; identification of comparables (including search strategy) and determination of arm's length range; financial data supporting the arm's length nature of the transactions; and copies of material intercompany agreements.

5. Advance Pricing Agreements (APAs)

Meridian's APA practice specializes in bilateral and multilateral APA negotiations, providing certainty over transfer pricing treatment for prospective periods (typically 5 years with rollback to open years). Our APA process includes:

- Pre-filing conference with the IRS APMA program (or foreign equivalent competent authority) to discuss the proposed covered transactions, methodology, and critical assumptions.
- Preparation and submission of the formal APA request, including detailed functional analysis, proposed transfer pricing method, economic analysis with arm's length range, and projections.

- Negotiation support through the competent authority process, including preparation of position papers, economic modeling of alternative scenarios, and attendance at bilateral meetings.
- Post-APA compliance monitoring -- annual reporting obligations, critical assumption testing, and renewal planning beginning 18 months before expiration.

In our experience, bilateral APAs between the United States and the following treaty partners have the highest success rates and most predictable timelines: Japan (average 24 months), United Kingdom (18 months), Canada (20 months), Germany (26 months), and India (30 months). We recommend bilateral over unilateral APAs in virtually all cases, as unilateral APAs do not eliminate double taxation risk.

6. DEMPE Analysis for Intangibles

Following the BEPS Action 8-10 revisions to the OECD Guidelines, legal ownership of intangible property alone is insufficient to entitle an entity to intangible-related returns. The DEMPE framework requires analysis of which entities perform and control the Development, Enhancement, Maintenance, Protection, and Exploitation of intangibles. Our DEMPE analysis framework includes:

- Development -- identify entities performing R&D, design, testing, and regulatory activities; assess whether the legal owner controls and funds development or merely bears title.
- Enhancement -- determine which entities improve or update existing intangibles, including software version upgrades, product reformulations, and process improvements.
- Maintenance -- assess ongoing activities to preserve intangible value, such as quality control, patent maintenance, trade secret protection protocols, and brand management.
- Protection -- identify entities responsible for legal protection (patent prosecution, trademark registration, litigation defense) and practical protection (cybersecurity, confidentiality measures).
- Exploitation -- determine which entities commercialize the intangibles through manufacturing, marketing, licensing, or sublicensing activities.

Where the DEMPE analysis reveals misalignment between legal ownership and economic substance, we recommend intercompany arrangements that ensure entities performing significant DEMPE functions receive appropriate arm's length compensation -- often through cost contribution arrangements (CCAs) with buy-in payments or performance-based royalties.

7. Financial Transactions Transfer Pricing

The 2022 OECD guidance on financial transactions (Chapter X) introduced specific rules for pricing intercompany loans, guarantees, cash pooling, and captive insurance arrangements. Meridian's approach incorporates:

- Accurate delineation of the financial transaction -- confirming the transaction's economic substance (e.g., whether an intercompany loan should be recharacterized as equity based on the borrower's debt capacity).
- Credit rating analysis for the borrower entity -- using Moody's CreditEdge, S&P Capital IQ, and our proprietary credit scoring model calibrated to the OECD's guidance on implicit group support.
- Arm's length interest rate benchmarking -- utilizing Bloomberg, Refinitiv, and proprietary databases of comparable third-party loan agreements, adjusting for tenor, currency, security, and covenants.
- Guarantee fee analysis -- quantifying the benefit to the guaranteed entity (yield approach) and comparing with independent guarantee fee market data.
- Cash pooling arrangements -- analysis of the notional pooling or physical pooling structure, allocation of interest benefits, and compensation to the cash pool leader for treasury functions.

8. Penalty Protection & Compliance Monitoring

Proper contemporaneous documentation is the primary mechanism for penalty protection under Section 6662(e) of the Internal Revenue Code (substantial valuation misstatement) and corresponding provisions in foreign jurisdictions. Our documentation

strategy ensures:

- Documentation is completed before the filing deadline for the relevant tax return (including extensions), satisfying the contemporaneous documentation requirement under Treas. Reg. Section 1.6662-6(d).
- All economic analyses are performed with reasonable diligence and good faith, meeting the reasonable cause and good faith exception under Section 6664(c).
- Annual compliance monitoring compares actual intercompany transaction results against benchmarked ranges, with remediation recommendations (e.g., year-end adjustments, compensating transactions) when results fall outside the interquartile range.
- Comprehensive workpaper files are maintained for a minimum of 7 years, supporting defense in the event of examination. All client data is handled in accordance with the firm's data privacy policy (see [common_firm_wide/data_privacy_policy.pdf](#)).